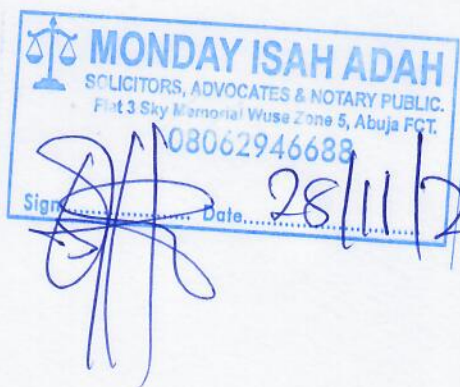


Mystrose Limited

Financial Statements as at
31st December, 2022



Mystrose Limited
Audited Financial Statements
for the year ended-31st December 2022
Together with Directors' Reports

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Corporate Information

Board of Directors

Adekunle Akanni-Aluko
Adeyemi Aluko
Adetoro Aluko

Chairman
Managing Director
Director

Corporate Office

Block M6
3 El- Golea Close
Wuse II
Abuja Municipal Area Council
FCT Abuja
Nigeria

Tax Identification Number 01713688-0001

Bankers Zenith Bank Plc

Auditor Tajudeen Adewale Olayinka & Co
2nd Floor Theodolite House
306, Ikorodu Road
Anthony
Lagos
Nigeria



Directors' Report

1. Financial Statements

The Directors submit their report and the audited accounts of the Company for the year ended 31st December 2022.

2. Principal Activities

The principal activity of the Company is contracting.

3. Results for the Year

The highlights of the Company's results for the year ended 31st December 2022 were as follows:

	31-Dec 2022 =N=
Turnover	3,141,536,657
Profit before Taxation	141,748,134
Profit after Taxation	89,128,135
Transfer to Reserves	89,128,135

4. Legal Form

The company was incorporated as a private limited liability company

5. Directors and shareholding

The following are the Directors as at the date of this report and who served during the year.
The Directors are to retire by rotation at the next General Meeting who being eligible, offer themselves for re-election.

	Number of shares	Percentage %
Adekunle Akanni-Aluko	100,000	10
Adeyemi Aluko	800,000	80
Adetoro Aluko	100,000	10
	<u>1,000,000</u>	<u>100</u>

6. Director's Interest In Contracts

None of the Directors has notified the company for the purpose of the Companies and Allied Matters Act 2020 of any declarable interest in any contract involving the company.

Directors' Report (Cont'd)

7. Record of Directors Attendance

In accordance with Companies and Allied Matters Act 2020, the records of Directors attendance of Board Meetings during the period will be available for inspection during the Annual General Meeting.

8. Corporate Social Responsibility

The Company is an integral part of the communities in which it operates. As such, we strive to be a trusted partner and enabler in addressing current and emerging issues in a manner that will promote sustainable social and economic development.

By embracing the principles of Corporate Social Responsibility (CSR), we seek to go beyond merely responding or reacting to needs that are brought to our attention, but to actively initiate and develop programmes while engaging with others so that we can bring about genuine improvements and beneficial results. By these means we are better positioned to support sustainable development for communities and our own operations within them.

The Company has initiated dialogue with organizations and institutions including government establishments in order to identify and contribute to projects where our efforts would have the greatest impact and value.

9. Corporate Governance

The Directors are committed to ensuring that internationally recognized best practices in corporate governance are observed in all areas of the Company's business. The Company's policies on corporate governance are continually reviewed with focus on high ethical standards of honesty, integrity, accountability and transparency. The Board continues to formulate policies aimed at creating an organization strongly positioned to achieve the ultimate good for the Company, the shareholders, employees and other stakeholders.

The Board meets regularly to appraise the company's performance as well as ensure its compliance with all relevant laws; the Board also meets as and when necessary to guide management.

10. Employment of Disabled Persons

It is the Company's policy not to discriminate against disabled persons. Special consideration is given to applications received from such persons having regards to each applicant's aptitude and capabilities.

11. Employees' Involvement and Training

The Company's employees are provided adequate opportunities to contribute to the success of the Company's business through individual participation and challenging responsibilities. The Directors believe that on-the-job training and training to develop specific skills are fundamental to the quality of the contribution each employee makes to the Company.

12. Employees' Health, Safety and Welfare

It is the Company's policy that its operations be managed to protect the health and safety of its employees. Sound operating practices are followed to foster a safe working environment. Accident prevention is given the same management attention and control as is given to other aspect of improving efficiency in operations.



Directors' Report (Cont'd)

The Company maintains Health care scheme through which medical treatment is available to all employees and families, in well-equipped hospitals and clinics manned by professionally qualified medical personnel.

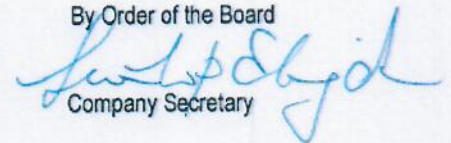
The Company makes provision for retirement benefits for its employees in accordance with the Pension Reform Act 2004.

External Auditor

The External Auditor, Messrs. Tajudeen Olayinka & Co expresses their willingness to continue in office as External Auditor. In accordance with section 401(2) of the Companies and Allied Matters Act 2020, a resolution will be proposed at the Annual General Meeting to authorise the Directors to determine their remuneration

Lagos, Nigeria
15th April 2023

By Order of the Board


Company Secretary



Statement of Directors' Responsibilities

The Companies and Allied Matters Act 2020 requires the Directors to prepare Financial Statements for each financial Period that gives a true and fair view of the state of Affairs of the Company at the end of the period and of its profit or loss. The responsibilities include:

- a) Ensuring that the Company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Company and comply with the requirements of the Companies and Allied Matters Act 2020;
- b) Designing, implementation and maintaining internal controls relevant to the preparation and fair presentation of Financial Statements that are free from material misstatement, whether due to fraud or error; and
- c) Preparing the Company's Financial Statements using suitable accounting policies supported by reasonable and prudent judgements and estimates that are consistently applied.

The Directors accept responsibility for these Financial Statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with the

- International financial Reporting Standards
- Requirements of the Companies and Allied Matters Act 2020.

The Directors are of the opinion that the Financial Statements give a true and fair view of the state of the financial affairs of the Company and of its profit or loss. The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of Financial Statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the Directors to indicate that the company will not remain a going concern for at least twelve months from the date of the statement.

Director

Director

Dated 15th March 2023



Independent Auditor's Report **To the Members of Mystrose Limited**

We have audited the Financial Statements of **Mystrose Limited** as at 31st December 2022 as set out on pages 10 to 13, and notes to the account on page 14-27.

Mystrose Limited Financial Statements comprises the:

- Statement of Financial position as at 31st December 2022;
- Statement of Comprehensive Income for the year then ended;
- Statement of Changes in Equity for the year then ended;
- Statement of Cashflows for the year then ended; and
- Notes to the Financial Statements, which include a summary of significant accounting policies.

Opinion

In our opinion, the Financial Statements give a True and Fair view of the Financial Position of **Mystrose Limited** as at 31st December, 2022 and of their Financial Performance and Cash Flows for the year ended on that date in accordance with the Companies and Allied Matters Act 2020, and Financial Reporting Standards (IFRSs).

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the Financial Statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code). We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of Financial Statements of the current period. There were no significant audit matters in forming our audit opinion.

Other Information

The Directors are responsible for the other information. The other information comprises the Directors Report, Corporate Governance report, Statement of Directors' responsibilities, Statement of Value added and Five year financial summary (but does not include the Financial Statements and our Auditor's Report thereon) which we obtained prior to the date of this Auditor's Report and Chairman's Statement, Financial performance review, Board evaluation report and other corporate information, which are expected to be available to us after that date.

Our opinion on the Financial Statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

Auditor's Report (Cont'd)

In connection with our audit of the Financial Statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information that we obtained prior to the date of this Auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the other information not yet received, if we conclude that there is material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the Directors and those charged with governance for the Financial Statements

The Directors are responsible for the preparation of the Financial Statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Companies and Allied Matters Act 2020, the Financial Reporting Council of Nigeria Act and for such internal control as the Directors determine is necessary to enable the preparation of Financial Statements that are free from material misstatement, whether due to fraud or error.

In preparing the Financial Statements, the Directors are responsible for assessing the Company's ability to continue as going concern, disclosing, as applicable, matters related to going concern basis of accounting unless the Directors either intend to liquidate the Company or cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Financial Statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- identify and assess the risks of material misstatement of the Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Directors.
- Conclude on the appropriateness of the Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our Auditor's report to the related disclosures in the Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our Auditor's Report. However, future events or conditions may cause the Company to cease to continue as a going concern.



Auditor's Report (Cont'd)

- Evaluate the overall presentation, structure and content of the Financial Statements, including the disclosures, and whether the Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the Financial Statements. We are responsible for the direction, supervision and performance of the Company's audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a Statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be brought to bear in our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determined those matters that were of most significance in the audit of the Financial Statements of the current year and are therefore the key audit matters. We describe these matters in our Auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other Legal and Regulatory requirements

The Companies and Allied Matters Act 2020 requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i. we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
- ii. the Company has kept proper books of account, so far as appears from our examination of those books and returns adequate for our audit.
- iii. The Statement of Financial position and Statement of comprehensive income are in agreement with the books of account.

Lagos, Nigeria


Tajudeen A Olayinka Fca
Frc/2013/ICAN/00000005133
For: Tajudeen A. Olayinka & Co.
(Chartered Accountants)
15th March, 2023



Statement of Comprehensive Income

		2022 =N=	2021 =N=
Turnover	5	3,141,536,657	2,477,843,546
Cost of Operation		<u>(2,702,469,472)</u>	<u>(2,153,302,764)</u>
		439,067,186	324,540,782
Employees Costs	6	(151,532,000)	(121,967,015)
Administrative Expenses	7	(102,377,563)	(110,762,949)
Depreciation		<u>(43,409,489)</u>	<u>(43,314,256)</u>
Profit before Taxation for the period		141,748,134	48,496,562
Taxation	8.1	<u>(52,620,000)</u>	<u>(21,630,291)</u>
Profit after Taxation		89,128,135	26,866,271
Profit Brought Forward		273,097,064	246,230,793
Retained Profit/(Loss) transferred to Reserves		<u>362,225,199</u>	<u>273,097,064</u>

Key Financial Information

EPS	89.13	26.87
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The accounting policies on pages 14-20 and accompanying notes on pages 21-27 form an integral part of these Financial Statements

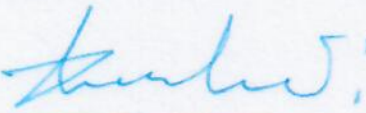


Mystrose Limited
Audited Financial Statements
for the year ended-31st December 2022
Together with Directors' Reports

Statement of Financial Position

	Note	=N=	2022 =N=	2021 =N=
Non Current Assets				
Property, Plant & Equipment Less Accum Depreciation	9		105,925,188	146,797,676
Unquoted Investment			4,500,000	4,500,000
Current Assets				
Receivables & Prepayments	10	381,015,129		475,989,094
Bank & Cash Balances	11	459,910,789		92,112,551
		<u>840,925,918</u>		<u>568,101,646</u>
Current Liabilities				
Payables	12	188,125,907		45,302,258
		<u>188,125,907</u>		<u>45,302,258</u>
Net Current Assets			652,800,011	522,799,388
Net Assets			<u>763,225,199</u>	<u>674,097,064</u>
Financed By:				
Authorised Share Capital				
1,000,000 Ordinary Shares of N1.00 each			<u>1,000,000</u>	<u>1,000,000</u>
Issued Share Capital	13		1,000,000	1,000,000
Deposit for Shares			400,000,000	400,000,000
Reserves			362,225,199	273,097,064
			<u>763,225,199</u>	<u>674,097,064</u>

The Financial Statements and statement of accounting policies on pages 14 to 20 were approved by the Board of Directors on..... and signed on its behalf by:


 } Directors



Statement of Changes in Equity

	Share Capital =N=	Retained Earnings =N=	Deposit for Shares =N=	Total =N=
Balance as at 1 January 2022	1,000,000	273,097,064	400,000,000	674,097,064
Profit for the year	-	89,128,135	-	89,128,135
Other Comprehensive Income	-	-	-	-
Fair value changes	-	-	-	-
Other Comprehensive Income for the year	1,000,000	362,225,199	400,000,000	763,225,199
Transactions with owners, recorded directly in equity contributions by and distributions to owners	-	-	-	-
Issue of Ordinary Shares	-	-	-	-
Dividends paid	-	-	-	-
Increase in Deposit for Shares	-	-	-	-
Total Contribution and distributions to owners	-	-	-	-
Balance as at 31st December 2022	1,000,000	362,225,199	400,000,000	763,225,199
Balance as at 1 January 2021	1,000,000	246,230,793	400,000,000	647,230,793
Total comprehensive income for the year	-	26,866,271	-	26,866,271
Dividend paid to share holders	-	-	-	-
Issue of Ordinary Shares	-	-	-	-
Transfer to reserves	-	-	-	-
Balance as at 31st December 2021	1,000,000	273,097,064	400,000,000	674,097,064

The accounting policies on pages 14-20 and accompanying notes on pages 21-27 form an integral part of these Financial Statements

Statement of Cashflow

	2022	2021
	=N=	=N=
Cash flow from operating Activities		
Profit Before Taxation	141,748,134	48,496,562
Adjusting for:		
Depreciation	<u>43,409,489</u>	<u>43,314,256</u>
Operating Profit before changes	185,157,623	91,810,818
In operating assets/Liabilities		
Changes in operating Assets/Liabilities		
Receivables & Prepayments	94,973,965	(32,465,366)
Payables and Accrued Charges	<u>126,675,900</u>	<u>3,154,333</u>
	<u>221,649,865</u>	<u>(29,311,033)</u>
Net change in operating assets/Liabilities	406,807,488	62,499,785
Net cash from operating activities before Income Tax		
Income tax paid	<u>(36,472,251)</u>	<u>(6,589,996)</u>
Net cash from operating activities	370,335,237	55,909,789
Cash flow used in investing activities		
Investment	-	-
Purchase of Property, Plant and Equipment	<u>(2,537,000)</u>	<u>(1,086,000)</u>
	<u>(2,537,000)</u>	<u>(1,086,000)</u>
Net cash (used in) from investing activities	367,798,237	54,823,789
Cash flow from Financing activities		
Increase in paid up Capital	-	-
Deposit for Shares	<u>-</u>	<u>-</u>
	<u>-</u>	<u>-</u>
Net (Decrease)/Increase in cash and cash Equivalent	367,798,237	54,823,789
Cash and Cash Equivalent at beginning of the year	92,112,551	37,288,761
Cash and Cash Equivalent at the end of the year	<u>459,910,788</u>	<u>92,112,551</u>

The accounting policies on pages 14-20 and accompanying notes on pages 21-27 form an integral part of these Financial Statements



Notes to the Financial Statements

Accounting Policies

1. General information

Mystrose Limited is a Company that has grown to become one of the leading General Contracting/Consultancy in the Nigeria, delivering service, satisfaction and value to customers.

The address of its corporate office is:

Block M6
3, El-Golea Close
Wuse II,
Abuja.

2.0 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these Financial Statements are set below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of preparation

These Financial Statements of Mystrose Limited have been prepared in accordance with International Financial Reporting Standards (IFRS) and Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC) applicable to companies reporting under IFRS. Further Standards may be issued by the International Accounting Standards Board (IASB) and may be subject to the interpretations issued by the IFRIC.

The preparation of Financial Statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise judgment in the process of applying the Company's accounting policies. Changes in assumptions may have a significant impact on the Financial Statements in the period the assumptions changed. Directors believe that the underlying assumptions are appropriate and that the company's Financial Statements therefore present the financial position and results fairly.

2.2 Changes in accounting policies and disclosures

(a) New standards, amendments and interpretations adopted by the entity

No new standards, amendments or interpretations were adopted by the entity for the first time for the financial year beginning on or after 1 January, 2017.

(b) New standards and interpretations not yet adopted

A number of new standards and amendments to standards and interpretations are effective for annual periods beginning after 1 January 2017, and have not been applied in preparing these Financial Statements.

Notes to the Financial Statements (Cont'd)

(i) IFRS 9, 'financial instruments', effective for accounting periods beginning on or after 1 January 2018 addresses the classification, measurement and recognition of financial assets and financial liabilities. The complete version of IFRS 9 was issued in July 2014. It replaces the guidance in IAS 39 that relates to the classification and measurement of financial instruments. IFRS 9 retains but simplifies the mixed measurement model and establishes three primary measurement categories for financial assets: amortised cost, fair value through other comprehensive income and fair value through profit or loss. The basis of classification depends on the entities business model and the contractual cashflow characteristics of the financial asset. Investments in equity instruments are required to be measured at fair value through profit or loss with the irrevocable option at inception to present changes in fair value in other comprehensive income not recycling. There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39. For financial liabilities there were no changes to classification and measurement except for the recognition of changes in own credit risk in other comprehensive income, for liabilities designated at fair value through profit or loss.

IFRS 9 relaxes the requirement for hedge effectiveness by replacing the bright line hedge effectiveness tests. It requires an economic relationship between the hedged item and hedging instrument and for the 'hedged ratio' to be the same as the one management actually use for risk management purposes. The contemporaneous documentation is still required but is different to that currently prepared under IAS 39. The Company has assessed the impact of this standard and does not expect a significant impact from the application of this standard on the Company.

(ii) IFRS 15, 'Revenue from contracts with customers', effective for annual periods beginning on or after 1 January 2018, deals with revenue recognition and establishes principles for reporting useful information to users of Financial Statements about the nature, amount, timing and uncertainty of revenue and cash flows arising from an entity's contract with customers. Revenue is recognized when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefit from the good or service. The standard replaces IAS 18 'Revenue' and IAS 11 'construction contracts' and related interpretations. The standard is effective for annual periods beginning on or after 1 January 2018 and earlier application is permitted. The entity is yet to assess the impact of IFRS 15. The Company has assessed the impact of this standard and does not expect a significant impact from the application of this standard on the company.

(iii) IFRS 16, 'Leases', effective for accounting periods beginning on or before 1 January 2019. The scope of IFRS 16 is generally similar to IAS 17 and includes all contracts that convey the right to use an asset for a period of time in exchange for consideration, except for licenses of intellectual property granted by a lessor, rights held by a lessee under licensing agreements (such as motion picture films, video recordings, plays, manuscripts, patents and copyrights), leases of biological assets, service concession agreements and leases to explore for or use minerals, oil, natural gas and similar non-regenerative resources. There is an optional scope exemption for leases of intangible assets other than the licenses mentioned above. However, the definition of a lease is different from the current IFRIC 4 guidance and might result in some contracts being treated differently in the future. IFRS 16 includes detailed guidance to help companies assess whether a contract contains a lease or a service, or both.

Under current guidance and practice, there is not a lot of emphasis on the distinction between a service or an operating lease, as this often does not change the accounting treatment. The analysis starts by determining if a contract meets the definition of a lease. This means that the customer has the right to control the use of an identifiable asset for a period of time in exchange for consideration. The Company is yet to assess the full impact of the standard.

Other new standards are not deemed to relate to the transactions of the Company.



Notes to the Financial Statements (Cont'd)

2.3 Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable and represents amounts receivable for goods supplied, stated net of discounts, returns and value added taxes. The Company recognizes revenue when the amount of revenue can be reliably measured; when it is probable that future economic benefits will flow to the entity; and when specific criteria have been met for each of the Company's activities, as described below. The Company bases its estimate of return on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

2.4 Property, plant and equipment

Property, Plant and Equipment is stated at historical cost less accumulated depreciation and accumulated impairment losses. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent expenditures are included in the asset's carrying amount or are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance costs are charged to "administrative expenses" during the financial period in which they are incurred.

Land is not depreciated. Depreciation of other classes of property, plant and equipment is calculated using the straight-line method to allocate their cost less their residual values over their estimated useful lives, as follows:

- Building	5%
- Furniture and Fittings	20%
- Motor Vehicles	25%
- Office equipment	25%

The assets' residual values and useful lives are reviewed annually, and adjusted if appropriate. Gains and losses on disposals are determined by comparing the proceeds with the carrying amount. These are included in the statement of profit or loss within 'other income'.

2.5 Financial Instruments

2.5.1 Financial assets

a) Classification

The Company classifies its financial assets as loans and receivables. The Company does not hold any financial assets in any other financial instrument category. The classification depends on the purpose for which the financial assets were acquired. Management determines the classification of financial assets at initial recognition.

b) Loans and receivables

Loans and receivables are non -derivative financial assets with fixed or determinable payments that are not quoted in an active market. The Company's loans and receivables comprise trade receivables, letters of credit receivables, due from related parties and cash and cash equivalents, and are included in current and non-current assets depending on their contractual settlement date. They are classified as current if they are to be settled within one year and non -current if they are to be settled after one year.



Notes to the Financial Statements (Cont'd)

2.5.2 Financial liabilities

a) Classification

Financial liabilities are classified as financial liabilities at amortised cost. The Company has no financial liabilities in any other category. Management determines the classification of financial liabilities at initial recognition.

b) Financial liabilities at amortised cost

These include trade payables, due to related parties and borrowings. Trade payables are classified as current liabilities due to their short-term nature while borrowings are split into current and non-current liabilities. Borrowings included in non-current liabilities are those with maturities greater than 12 months after the reporting date.

Financial liabilities are recognized initially at fair value, net of any transaction costs. Subsequently, they are measured at amortised cost using the effective interest method.

2.5.3 Derecognition

Financial assets are derecognized when the contractual rights to receive the cash flows from these assets have ceased to exist or the assets have been transferred and substantially all the risks and rewards of ownership of the asset are also transferred (that is, if substantially all the risks and rewards have not been transferred, the Company tests control to ensure that continuing involvement on the basis of any retained powers of control does not prevent derecognition)

Financial liabilities are derecognized when they have been redeemed or otherwise extinguished.

2.5.4 Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

2.5.5 Impairment of financial assets

The Company assesses at the end of each reporting period whether there is objective evidence that a financial asset or a Company of financial asset, is impaired. A financial asset or Company of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or Company of financial assets that can be reliably estimated.

Evidence of impairment may include indications that the debtors or a Company of debtors is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization, and where observable data indicate that there is a measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

For loans and receivables category, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the amount of the loss is recognized in the profit or loss statement.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognized (such as an improvement in the debtor's credit rating), the reversal of the previously recognized impairment loss is recognized in the profit or loss.



Notes to the Financial Statements (Cont'd)

2.6 Foreign currency translation

a) Functional and presentation currency

Items included in the Financial Statements are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The Financial Statements are presented in Naira which is the Company's functional currency.

b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuations where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss. Foreign exchange gains and losses are presented in profit or loss within 'exchange gain'.

2.7 Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short-term highly liquid investment with original maturities of three months or less. For purpose of the statement of cashflow, cash and cash equivalents comprise cash in hand, deposits on call held with banks and bank overdrafts.

2.8 Share capital

The Company has only one class of shares; ordinary shares. Ordinary shares are classified as equity. When new shares are issued, they are recorded as share capital at their par value. The excess of the issue price over the par value is recorded in the share premium reserve.

Incremental costs directly attributable to the issue of new ordinary shares or options are shown in equity as a deduction, net of tax, from the proceeds.

2.9 Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in arriving at profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.

a) Current income tax

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the date of statement of financial position in the country, Nigeria, where the Company operates and generates taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of current income tax is the amount of income tax payable on the taxable profit for the year determined in accordance with the Companies Income Tax Act (CITA). Education tax is assessed at 2% of the assessable profits.

b) Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax base of assets and liabilities and their carrying amount in the Financial Statements. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted by the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised. Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset

Notes to the Financial Statements (Cont'd)

current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balance on a net basis.

C) Minimum tax

Minimum tax is imposed where a company has no taxable profit or the tax payable is less than the minimum tax computed. Minimum tax is calculated on the basis of the tax laws enacted or substantively enacted at the reporting date in Nigeria, where the company operates. It is accounted for as a levy in accordance with the provisions of IFRIC 21 and reported as part of administrative expenses in the statement of profit or loss.

2.10 Employee benefits

Pension scheme

The company operates a statutory pension scheme, under which both the Company and the employees contribute the equivalent of 10% and 8% respectively of employees' basic salary, transport and housing allowances to the employees' Individual Retirement Savings Account (RSA) with registered and approved Pension Fund Administrators in accordance with the Pensions Reform Act.

2.11 Provisions

Provisions are recognised when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that the Company will be required to settle that obligation and the amount has been reliably estimated. Provisions for restructuring costs are recognized when the Company has a detailed formal plan for the restructuring that has been communicated to affected parties. Provisions are not recognized for future operating leases.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligation may be small. Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as 'finance cost' in the statement of profit or loss.

2.12 Finance income/(costs)

For all financial instruments measured at amortised cost, interest income is recorded using the effective interest rate (EIR). EIR is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset or liability. Interest Income/(costs) is included in finance income/(costs) in the statement of profit or loss.

2.13 Statement of cash flows

The cash flows from operating activities are determined by using the indirect method. Net income is therefore adjusted by non-cash items, such as measurement gains or losses, changes in provisions, as well as changes from receivables and payables. In addition, all income and expenses from cash transactions that are attributable to investing or financing activities are eliminated.

The cash flows from investing and financing activities are determined by using the direct method. The Company's assignment of the cash flows to operating, investing and financing category depends on the Company's business model/management approach.

2.14 Comparatives

Except when a standard or an interpretation permits or requires otherwise, all amounts are reported or disclosed with comparative information.

Notes to the Financial Statements (Cont'd)

3.0 Critical accounting estimates and judgments

The preparation of Financial Statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to judgment in the process of applying the Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the Financial Statements are disclosed herein.

Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The Company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results.

3.1 Accruals, provisions and other liabilities

Accruals and other liabilities includes estimate on project accruals. Management's estimates include determination of technical contingencies and risk assessment provisions on projects.

Provisions relate to management's estimate for liabilities which in management's judgment, the likelihood of an outflow of economic resources is probable.

3.2 Income taxes

The Company is subject to income taxes only in Nigeria, and this does not require significant judgement in terms of provision for income taxes but a certain level of judgement is required for recognition of deferred tax assets. Management is required to assess the ability of the Company to generate future taxable economic earnings that will utilise all deferred tax assets. The future cashflows used by management to assess whether the company will be able to generate enough taxable economic earnings form part of the management assumptions.

Taxes are paid by the Company under the Nigerian tax laws, which are subject to varying interpretations. Its is possible for the tax authorities to review transactions and activities that have not been reviewed in the past and scrutinize these in greater detail, additional taxes may be assessed based on new interpretations of the applicable tax laws and regulations.

Accordingly, management's interpretation of the applicable tax laws and regulations as applied to the transactions and activities of the Company may be challenged by the relevant taxation authorities. The Company's management believes that its interpretation of the relevant tax law and regulations is appropriate and that the tax position included in these Financial Statements will be sustained.

4.0 Financial risk management

The company's operations expose it to a variety of financial risks that include market risk, credit risk and liquidity risk.

Risk management is carried out by the finance unit under policies approved by the Executive Management. The finance unit identifies, evaluates and manages financial risks in close co-operation with the company's operating units. The board provides written principles for overall risk management, as well as written policies covering specific areas, such as credit risk and market risk.

i) Credit risk management

Credit risk is the risk that financial loss arises from the failure of a customer or counterparty to meet its obligations under a contract. Credit risk arises from cash and cash equivalents, deposits with banks and financial institutions, as well as credit exposures to domestic and international customers on amounts receivable and omitted transactions.

Risks limits are set based on internal and external ratings in accordance with limits set by the Company's Credit Committee



Notes to the Financial Statements (Cont'd)
Credit concentrations

The Company's maximum exposure to credit risk as at the reporting date is

	31-Dec 2022 =N=	31-Dec 2021 =N=
Receivables	33,376,579	78,350,544
Prepayments and Others	301,138,550	301,138,550
Cash & cash equivalent	459,910,789	92,112,551
	<u>794,425,918</u>	<u>471,601,646</u>

Credit quality

Below is the breakdown of trade and other receivables neither past due nor impaired, past due but not impaired and fully impaired.

	31-Dec 2022 =N=	31-Dec 2021 =N=
Neither passed due nor impaired:		
Receivables	-	-
Due from related company	-	-
	<u>-</u>	<u>-</u>
Past due but not impaired		
Receivables	33,376,579	78,350,544
	<u>33,376,579</u>	<u>78,350,544</u>
Fully Impaired		
	<u>-</u>	<u>-</u>

Trade and other receivables in this analysis excludes prepayment, deposits and staff debtors.

i) Cash and cash equivalent

The Company held cash and cash equivalents of N459million as at 31st December 2022 (2021: N92 million which is exposed to credit risk. The cash and cash equivalents are held by banks and financial institutions in Nigeria.

Cash at bank	456,924,019	89,221,115
Cash in hand	2,986,769	2,891,436
	<u>459,910,789</u>	<u>92,112,551</u>



Notes to the Financial Statements (Cont'd)

4.1 Liquidity risk

Management of liquidity risk

Liquidity risk is the risk that the company will not be able to meet its financial obligations as they fall due. The company manages liquidity by ensuring that sufficient funds are available to meet its commitments as they fall due. The Company uses both long term and short term cash flow projections to monitor funding requirements for activities and to ensure there are sufficient cash resources to meet operational needs. Cash flow forecasting is performed by the finance department.

The Company has incurred indebtedness in the form of overdrafts and loans. The Company evaluates its ability to meet its obligations on an on-going basis. Based on these evaluations, the company devises strategies to manage its liquidity risk. The company invests idle funds on low risk short term placements.

Prudent liquidity risk management implies that sufficient cash is maintained and that sufficient funding is available through and adequate amount of committed credit facilities. The Company has no limitation placed on its borrowing capability.

Maturity analysis

The table below analyses financial liabilities of the company into relevant maturity period based on the remaining period at reporting date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	Less than three months =N=	More than three months =N=	Total =N=
At 31 December 2022:			
Other Payables including Accruals		188,125,907	188,125,907
	-	188,125,907	188,125,907
At 31 December 2021:			
Other Payables including Accruals		45,302,258	45,302,258
	-	45,302,258	45,302,258

Fair value estimation

The Company's financial instruments are measured at amortized cost.

4.2 Capital management

The Company's objectives when managing capital are to safeguard its ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders, and to maintain an optimal capital structure to reduce the cost of capital.

In order to maintain or adjust the capital structure, the Company may adjust the amount of dividends paid to shareholders, return capital to shareholders, issue new shares or sell assets to reduce debt.

The Company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as 'equity' as shown in the financial position plus net debt.

Notes to the Financial Statements (Cont'd)

The Company maintained debt in excess of equity at 31 December 2022 and 31 December 2021.

	31-Dec 2022 =N=	31-Dec 2021 =N=
Overdrafts	-	-
Debt	-	-
 Total equity	 763,225,199	 674,097,064
Total capital	763,225,199	674,097,064
Debt equity ratio %	-	-

4.3 Fair value of financial instruments

Cash and cash equivalents, trade and other receivables and trade and other payables are highly liquid investments, which are due on demand or within one year, thus carrying values approximate their fair values.

4.4 Offsetting financial assets and financial liabilities

There are no financial instruments where parties have elected to offset. In the absence of such an election, financial assets and liabilities will be settled on a gross basis.

5 Revenue

	31-Dec 2021 =N=	31-Dec 2020 =N=
Revenue	3,141,536,657	2,477,843,546
	<u>3,141,536,657</u>	<u>2,477,843,546</u>

6 Staff Costs

Salaries & Allowances	103,532,000	97,967,015
Director remuneration	48,000,000	24,000,000
Pension	-	-
	<u>151,532,000</u>	<u>121,967,015</u>



Notes to the Financial Statements (Cont'd)

7. Administrative Expenses

	2022 =N=	2021 =N=
Medical Expenses	8,175,900	7,952,619
Rent	1,000,000	1,000,000
Legal & Professional Fees	1,500,000	1,500,000
Telephone & postages	1,340,115	604,300
Office Repairs & Maintenance Mtce	17,096,442	14,363,135
Motor Repairs & Maintenance	17,511,050	15,571,000
Training & Registrations and Licences	12,009,202	11,081,712
Printing and Stationery	2,185,500	1,977,020
Insurance	216,588	20,129,775
Audit Fees	2,000,000	1,500,000
Newspapers & Periodicals	1,370,000	921,667
Bank Charges	2,375,030	3,589,058
Entertainment	2,175,000	1,381,667
Electricity	5,167,800	3,549,000
Transport and Travelling Expenses	23,166,361	21,670,372
Subscriptions & Donations	5,088,575	3,971,625
	<u>102,377,563</u>	<u>110,762,949</u>

8. Taxation

8.1 Per income Statement

Company income tax	47,629,601	19,335,020
Education tax	4,628,941	2,295,270
Nigerian Police Levy	7,087	
NASENI	354,370	
Total current taxes on income	<u>52,620,000</u>	<u>21,630,291</u>
Deferred tax expense	<u>-</u>	<u>-</u>
	<u>52,620,000</u>	<u>21,630,291</u>



Notes to the Financial Statements (Cont'd)

8.2 Movement in current tax liability

Balance as at 1st January	36,472,251	21,431,956
Tax paid during the year	(36,472,251)	(6,589,996)
charge for the year	52,620,000	21,630,291
Minimum tax levy		
Balance as at 31 December	<u>52,620,000</u>	<u>36,472,251</u>

9. Property, Plant and equipment

Cost	Building =N=	Furniture & Fittings =N=	Office Equipment =N=	Motor Vehicle =N=	Total =N=
Cost 1/1/2022	95,512,664	385,000	41,280,210	145,918,751	283,096,625
Addition	-	-	2,537,000	-	2,537,000
	<u>95,512,664</u>	<u>385,000</u>	<u>43,817,210</u>	<u>145,918,751</u>	<u>285,633,625</u>
Depreciation					
B/F 1/1/2022	19,102,533	362,166	33,074,914	83,759,336	136,298,949
Depreciation for the year	4,775,633	5,708	2,148,459	36,479,688	43,409,489
	<u>23,878,166</u>	<u>367,875</u>	<u>35,223,373</u>	<u>120,239,023</u>	<u>179,708,437</u>
Net Book Value 31/12/2022	<u>71,634,498</u>	<u>17,125</u>	<u>8,593,836</u>	<u>25,679,728</u>	<u>105,925,188</u>
Net Book Value 31/12/2021	<u>76,410,131</u>	<u>22,834</u>	<u>8,205,296</u>	<u>62,159,416</u>	<u>146,797,676</u>

10 Receivables

	31-Dec 2022 =N=	31-Dec 2021 =N=
Trade Receivables	46,500,000	96,500,000
Sundry Receivables	33,376,579	78,350,544
Prepayments	1,850,000	1,850,000
Withholding Taxes Receivables	299,288,550	299,288,550
	<u>381,015,129</u>	<u>475,989,094</u>

Notes to the Financial Statements (Cont'd)

11. Cash and cash equivalents

Cash at bank	456,924,019	89,221,115
Cash in hand	2,986,769	2,891,436
	<u>459,910,789</u>	<u>92,112,551</u>

12 Payables

	31-Dec 2022 =N=	31-Dec 2021 =N=
Sundry Payables	133,505,907	7,330,007
Accruals	2,000,000	1,500,000
Taxation	52,620,000	36,472,251
	<u>188,125,907</u>	<u>45,302,258</u>

13. Share capital

Authorised, issued and fully paid: 1 million ordinary shares of N1 each	1,000,000	1,000,000
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Profit per share

Profit attributable to equity holders of the company	89,128,135	26,866,271
Weighted average number of ordinary shares outstanding	1,000,000	1,000,000
Basic and ordinary profit per share (N)	89	27

Basic profit per share is calculated by dividing the loss attributable to equity holders of the company by the weighted average number ordinary shares outstanding at the end of the reporting period.

14. Employee information

The number of employees of the Company, other than the Directors, who received emoluments in the following ranges (excluding pension contributions and certain benefits), are shown below

The table shows the spread of remuneration of employees, other than the Directors.



Notes to the Financial Statements (Cont'd)

Breakdown of employee benefits (excluding Directors)

	31-Dec 2022 =N=	31-Dec 2021 =N=
Below N 1,000,000	10	3
N 1,000,000 - N 2,000,000	4	4
N 2,000,001 - N 5,000,000	3	3
Above N 5,000,000	1	1

Breakdown of Directors' Benefits

15. Capital commitments and contingent liabilities

The Company had no capital commitments and contingent liabilities as at 31st December 2022 (2021: nil).

16. Events after reporting date

There were no post balance sheet events which could have a material effect on the financial position of the Company as at 31st December 2022 or the profit or loss for the year ended 31st December 2022 (2021:nil).



Value Added Statement

	2022 =N=	%	2021 =N=	%
Turnover	3,141,536,657		2,477,843,546	
Administrative Overheads & Prepayments for Other Services	(2,804,847,034)		(2,264,065,713)	
Value Added	<u>336,689,623</u>	<u>-</u>	<u>213,777,833</u>	<u>-</u>
Applied As:				
In Payment of Employees Salaries, Wages, Bonus & Other Bonuses	151,532,000	45	121,967,015	57
In Payment to Government: -Taxation	52,620,000	16	21,630,291	10
Interest on Loan & Bank -Overdraft	-		-	
Retained for Future			-	
-Maintenance of assets	-		-	
-Depreciation Charges	43,409,489	13	43,314,256	20
Retained for Expansion of Business	89,128,135	26	26,866,271	13
Value Added	<u>336,689,623</u>	<u>100</u>	<u>213,777,833</u>	<u>100</u>

Mystrose Limited

Financial Statements
As at
31st December, 2022

